

THE SESSION · POST-CLOSE READ

Two Inputs, One Rally

A called-off strike took the geopolitical premium out of crude, and the strongest ISM manufacturing print since May 2022 put it into factories. Both sleeves advanced — Growth Portfolio ahead of IUSG, Dividend Strategy ahead of DVY.

S&P 500 ▲ 1.47%

NASDAQ ▲ 2.13%

DOW ▲ 1.32%

VIX 15.76

BRENT ▼ \$84

DIVIDEND STRATEGY

▲ BEAT DVY · TRAILED SPY

+1.20%

1-DAY

FCI		+1.20%
DVY		+0.36%
SPY		+1.44%

YTD +20.69% vs DVY +16.42% · SPY +11.68%

GROWTH PORTFOLIO

▲ BEAT IUSG

+2.53%

1-DAY

FCI		+2.53%
IUSG		+2.20%

YTD +16.80% vs IUSG +12.74%

THE SESSION

August opened with the geopolitical premium coming out of crude, and both sleeves advanced. The S&P 500 closed at 7,599.97, up 1.47%, with the Nasdaq up 2.13% and the Dow up 1.32%, after the weekend decision to call off a planned strike on Iran in favor of negotiations. Brent settled near \$84 and the 10-year Treasury yield eased roughly five basis points off an 18-month high, per Benzinga's session recap. That combination let the rate-sensitive and the cyclical parts of the portfolio work at the same time: Dividend Strategy added 1.20% and Growth Portfolio 2.53%.

The morning's second input mattered as much as the first. July's ISM Manufacturing PMI printed 55.6% against 53.3% in June and a consensus near 54%, with new orders at 56.7%, production at 58.5%, and the employment index back above 50 for the first time in nearly three years — the strongest headline reading since May 2022 by the institute's own account. It showed in what worked. Caterpillar closed up 1.87%, Steel Dynamics 2.83%, Genuine Parts 3.34%, Toll Brothers 3.15%. Growth Portfolio's 2.53% cleared IUSG's 2.20%. Dividend Strategy's 1.20% cleared DVY's 0.36% while trailing SPY's 1.44% — the expected shape of a session led by mega-cap technology and communication services, where we are deliberately underweight on the income side.

Two days of headlines moved the tape more than two quarters of earnings did. We size for the earnings. Think Like an Owner.

Energy paid for the peace. Chevron eased 1.85% and ONEOK 2.83% as crude reached a three-week low — the direct cost of a development that helped nearly everything else on the sheet, and a reminder of why the two sleeves are built to lean in different directions. Nutrien was the softest holding in either book at -4.50% ahead of its Wednesday re-

lease. In digital assets, IBIT closed up 1.46% and ETHA up 0.28% with bitcoin near \$63,764, though spot bitcoin funds carried a net outflow into Friday, so the ETF bid has not re-formed. None of this alters the ownership case for any of the 52 businesses we hold. It alters the order in which the market chooses to notice them.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

SOFI +10.55%

GROWTH

The Q2 beat kept repricing — revenue of \$1.31 billion, up 32% year over year, adjusted EPS of \$0.62, members up 35% and total products up 42%, with the full-year outlook raised.

CRDO +5.49%

GROWTH

AI-connectivity names recovered alongside the wider semiconductor tape; Susquehanna lifted its target to \$250 in late July.

VST +5.23%

GROWTH

Independent power producers found a bid as the 10-year yield eased and the AI-power trade regained footing.

DECLINERS

NTR -4.50%

DIVIDEND

Fertilizer pricing stayed under pressure into Wednesday's second-quarter release, with sell-side targets trimmed repeatedly through late July.

OKE -2.83%

GROWTH

Midstream repriced with crude and NGLs; second-quarter results are due after the close.

SYK +4.76%

DIVIDEND

Recovering ground given up on July 30, when narrowed full-year guidance overshadowed a clear second-quarter beat.

HOOD +4.37%

GROWTH

Post-earnings rebound extended; the UK arm joined the FCA crypto-asset register on July 31 and Ventures Fund II is targeting a \$200 million IPO.

CEG +4.17%

DIVIDEND

Nuclear generation rallied with the power complex ahead of Thursday's second-quarter report.

EIX -2.60%

GROWTH

A regulated utility giving back ground as the defensive bid faded in a risk-on session.

NXPI -2.18%

GROWTH

Analog and automotive semiconductors lagged the broader chip recovery.

CVX -1.85%

GROWTH

Crude reached a three-week low, with Brent near \$84 after the planned strike on Iran was called off.

HOLDINGS NEWS

Robinhood extended a productive week. Second-quarter revenue of \$1.31 billion, up 32% year over year, and diluted EPS of \$0.62 against roughly \$0.42 expected — though \$0.14 of that came from the deconsolidation of Ventures Fund I. Gold subscriptions reached 4.8 million, up 39%, net deposits totaled \$21.7 billion, and management lowered its full-year adjusted expense range to \$2.675–2.775 billion. Shares initially sold off on the print before turning; on July 31 the UK arm was added to the FCA's register of crypto-asset firms, and Ventures Fund II is targeting a \$200 million IPO. We continue to hold it as a distribution business rather than a crypto proxy, which is why the 38% year-over-year decline in crypto revenue does not change our read.

Stryker recovered part of its post-earnings gap. The July 30 quarter delivered adjusted EPS of \$3.69 against \$3.49 expected, revenue of \$6.59 billion up 9.4%, and 9% organic growth with high-single-digit gains across both MedSurg/Neurotechnology and Orthopaedics as the company worked through recovery from the first-quarter cyber incident. Shares fell about 6.4% on the day anyway, on narrowed full-year guidance. UBS has since moved the name to Buy with a \$400 target, and the stock added 4.76% today. This is the ordinary rhythm of owning a compounder: the business advanced, the multiple flinched, and the two reconciled over the following sessions.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+20.69%

vs DVY +16.42% / SPY +11.68%

GROWTH PORTFOLIO

+16.80%

vs IUSG +12.74%